IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.18/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF ARRANGEMENT AND AMALGAMATION
OF
KEWAUNEE SCIENTIFIC CORPORATION (INDIA) PRIVATE LIMITED
(TRANSFEROR COMPANY)
AND
KEWAUNEE LABWAY INDIA PRIVATE LIMITED
(TRANSFEREE COMPANY)
AND
THEIR RESPECTIVE SHAREHOLDERS

Order delivered on: 24th April, 2018

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): Ms. Maneesha Kongovi
Advocate
202, Benson Boulevard, 77/1,
Nandidurg Road, Benson Town,
Bangalore-560046

Per: **Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)**

Heard on: 11.04.2018, 24.04.2018

Kewaunee Scientific Corporation (India) Private Limited
#86, Jigani Link Road,
Bommasandra
Bangalore-562106
.... Applicant Company/Transferor Company

ORDER

1. This Application is filed on behalf of the Applicant Company under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to dispense with convening of meeting of Equity Shareholders and holding and convening of meeting of Secured and Unsecured Creditors, for considering the scheme of Amalgamation, where under Kewaunee Scientific Corporation (India) Private Limited (Applicant Company/Transferor Company) is proposed to be merged with Kewaunee Labway

India Private Limited (Transferee Company). The Scheme of Amalgamation is shown as **Exhibit-D**.

2. The averments made in the Company Application are briefly described hereunder:-

(1) The Applicant Company/Transferor Company seeks an order to dispense with convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors for considering the scheme of Amalgamation, where under Kewaunee Scientific Corporation (India) Private Limited (Applicant Company/Transferor Company) is proposed to be merged with Kewaunee Labway India Private Limited (Transferee Company). The Scheme of Amalgamation is shown as **Exhibit-D.**

(2) The present Application is filed on behalf of the Applicant Company/Transferor Company stating that the Applicant Company/Transferor Company was incorporated on 1st April, 2002 under the name and style "Kewaunee Scientific Corporation (India) Private Limited" with the Registrar of Companies, NCT of Delhi & Haryana. The Registered office of the Applicant Company/Transferor Company is situated at, #86, Jigani Link Road, Bommasandra, Bangalore-562106.

(3) The main objects of the Applicant Company/Transferor Company as stated in the Memorandum of Association are inter alia to carry on the businesses of manufacturing, importing, exporting, trading, marketing, distribution, bartering, contracting in, buying, selling, purchasing or otherwise acquiring, renting, leasing, investing in, owning, holding, using, designing, developing, manufacturing, assembling, fabrication, licensing the use, installing, operating, holding, maintaining, servicing, repairing, pledging, mortgaging, exchanging, assigning, disposing of and otherwise dealing, as principal or agent, in all kinds of scientific laboratory, equipment and requisites and an appliances, supplies, parts, accessories, tools, components, devices and equipment ancillary thereto. The copy of Memorandum and Articles of Association of the Applicant Company/Transferor Company is shown as **Exhibit-A.**

(4) The latest authorised share capital of the Applicant Company/Transferor Company is Rs.5,00,00,000/- divided into 5,00,000 Equity Shares of Rs.100/- each. The issued, subscribed and paid-up capital of the Applicant

Company/Transferor Company is Rs. 99,32,300/- divided into 99,323 Equity Shares of Rs.100/-. The Audited balance sheet as on 31st March, 2017 is shown as **Exhibit-B.**

(5) It is further stated that, the Board of Directors of the Applicant Company/Transferor Company have approved and adopted a Scheme of Amalgamation at their meeting held on 24th January, 2018 by virtue of which Kewaunee Scientific Corporation (India) Private Limited (Applicant Company/Transferor Company) is proposed to be merged with Kewaunee Labway India Private Limited (Transferee Company) subject to confirmation. Copy of the Board Resolution of Applicant Company/Transferor Company dated 24th January, 2018 approving and adopting the Scheme of Amalgamation is shown as **Exhibit-E.**

(6) It is further averred in the scheme that the Board of Directors of the Applicant Company/Transferor Company and Transferee Company are of the opinion that the arrangement would result in inter alia following benefits:

i. The amalgamation would result in better and efficient utilization of resources of the Transferor Company and Transferee Company resulting in synergy of operations and economies of scale.

ii. The Companies are owned by same group globally, and as a part of overall strategy, the group has decided to streamline its business presence by combining the Transferor Company and Transferee Company for the purpose of achieving operational efficiency, maximise synergies and reduce costs.

(7) It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company/Transferor Company has certified that there are **2 Equity Shareholders** in the Applicant Company/Transferor Company shown as **Exhibit-F**.

(8) It is further stated that there are **2 Secured Creditors** (with one secured creditor HSBC has granted two types of credit facility viz., PCFC loan and overdraft) of the value of Rs. 2,08,25,663/- in the Applicant Company/Transferor Company as on 31st December, 2017 as certified by the Chartered Accountant shown as **Exhibit -H.**

(9) It is further stated that there are **176 Unsecured Creditors** of the value of Rs. 15,07,01,116/- in the Applicant Company/Transferor Company as on 31st December, 2017 as certified by the Chartered Accountant shown as **Exhibit-I.**

3. We have seen the consent affidavits filed by the 2 Equity Shareholders of Applicant Company/Transferor Company i.e., (i) Kewaunee Scientific Corporation Singapore Pte Ltd holding 25,391 equity shares constituting 25.56% of the total paid up share capital and (ii) Kewaunee Scientific Corporation USA holding 73,932 equity shares constituting 74.44% of the total paid up share capital shown as **Exhibit-G1 and Exhibit-G2**.

4. It is averred by the Learned Counsel for the Applicant Company/Transferor Company that secured creditors and unsecured creditors will be paid in the normal course of business and no arrangement is envisaged with them as such; so far as the Secured Creditors and Unsecured Creditors of the Applicant Company/Transferor Company are concerned, they will no way be affected by the proposed Scheme as no arrangement or compromise is envisaged with them. Further, that the assets of the Transferee Company after the proposed Arrangement will be far more than its liabilities. It is further stated that it would be in the interest of expediency, business and in the interests of justice and the meetings of the members and the creditors for approval of the Scheme be dispensed with.

5. The Counsel for the Applicant Company/Transferor Company has filed written submissions dated 24th April, 2018, stating that when no arrangement is sought with the creditors calling of their meeting or seeking their dispensation under Section 230(9) is not required. In support of this contention, the Counsel has relied on decisions of the Hon'ble NCLT, Mumbai Bench in *China Development Bank Corporation and Ors. V. Reliance Communication Ltd. And Ors.* and Hon'ble High Court of Bombay in *In Re: ICICI Bank Limited* ([2003] 115 Comp Cas 456 (Bom)).

6. However, with respect to the decisions cited by the Counsel for the Applicant Company/Transferor Company, the factual matrix in the decisions is different from the present case. Hence the cited decisions are not applicable to the present scenario.

7. Further, the provisions of Section 230 of the Companies Act, 2013 read as follows:

"**230 (1)** Where a compromise or arrangement is proposed—
(a) between a company and its creditors or any class of them; or
(b) between a company and its members or any class of them,

the Tribunal may, on the application of the company or of any creditor or member of the company, or in the case of a company which is being wound up, of the liquidator, appointed under this Act or under the Insolvency and Bankruptcy Code, 2016, as the case may be, order a meeting of the creditors or class of creditors, or of the members or class of members, as the case may be, to be called, held and conducted in such manner as the Tribunal directs.

Explanation.—For the purposes of this sub-section, arrangement includes a reorganisation of the company's share capital by the consolidation of shares of different classes or by the division of shares into shares of different classes, or by both of those methods.

(6) Where, at a meeting held in pursuance of sub-section (1), majority of persons representing three-fourths in value of the creditors, or class of creditors or members or class of members, as the case may be, voting in person or by proxy or by postal ballot, agree to any compromise or arrangement and if such compromise or arrangement is sanctioned by the Tribunal by an order, the same shall be binding on the company, all the creditors, or class of creditors or members or class of members, as the case may be, or, in case of a company being wound up, on the liquidator, appointed under this Act or under the Insolvency and Bankruptcy Code, 2016, as the case may be, and the contributories of the company.

(9) The Tribunal may dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety per cent. value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement."

As stated above, Companies Act, 2013 has prescribed a procedure for any arrangement and in case of creditors' meetings, permission to dispense with the meeting is allowed only when at least 90 per cent in value agree and consent by way of Affidavit to the scheme of compromise. Hence, convening the creditors' meeting is the intention of the legislature.

8. After hearing the counsel and after perusing the documents filed, the Application is disposed off and we pass the following order:

(1) Holding of the meeting of the Equity Shareholders is dispensed with.

(2) The meeting of the Secured Creditors of the Applicant Company/Transferor Company be convened and held at No. 92/1A, 3rd Floor, BNR Towers, HP Avenue, Konappana Agrahara, Begure Hobli, Electronic City Phase 1, Bangalore - 560 100 on Thursday

the 14thJune, 2018 at 11:00 AM for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of Kewaunee Scientific Corporation (India) Private Limited (Applicant Company/Transferor Company) with Kewaunee Labway India Private Limited (Transferee Company). Ms. Alka Tripathi, Advocate, as proposed by the Counsel for the Applicant during the course of hearing is appointed as Chairperson and Mr. Manoj Kumar, Chartered Accountant in Practice as Scrutinizer for the Meeting of Secured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs. 35,000/- and Rs. 25,000/- respectively for convening the meeting of Secured Creditors. The quorum for the Meeting of Secured Creditors is two or through representative. The Notice of the Meeting of Secured Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Kannada Prabha".

(3) The meeting of the Unsecured Creditors of the Applicant Company/Transferor Company be convened and held at No. 92/1A, 3rd Floor, BNR Towers, HP Avenue, Konappana Agrahara, Begure Hobli, Electronic City Phase 1, Bangalore - 560 100 on Thursday the 14thJune, 2018 at 03:00 PM for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of Kewaunee Scientific Corporation (India) Private Limited (Applicant Company/Transferor Company) with Kewaunee Labway India Private Limited (Transferee Company). Ms. Alka Tripathi, Advocate, as proposed by the Counsel for the Applicant during the course of hearing is appointed as Chairperson and Mr. Manoj Kumar, Chartered Accountant in Practice as Scrutinizer for the Meeting of Unsecured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs. 35,000/- and Rs. 25,000/- respectively for convening the meeting of Unsecured Creditors. The quorum for the Meeting of Secured Creditors is fifteen or through representative. The Notice of the Meeting of Unsecured Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Kannada Prabha".

(4) The Applicant Company or its authorized signatory is directed to issue notice(s) to Secured Creditors and Unsecured Creditors of the Applicant Company/Transferor Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Creditors of Applicant Company/Transferor Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Creditors Meeting of Applicant Company/Transferor

2016 ensuing convening the said Creditors Meeting of Applicant Company/Transferee Company at the place, day, date and time, along with a copy of scheme of amalgamation, a copy of Explanatory Statement, pursuant to Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

(5) The Applicant Company/Transferee Company is directed at least 30 clear days before the Meeting of the Creditors of the Applicant Company/Transferee Company to be held as aforesaid, to issue a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Amalgamation and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

(6) The Applicant Company to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

(7) The Applicant Company to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

(8) The Applicant Company to serve the notice upon the Income Tax Authority, Principal Commissioner of Income Tax, Karnataka & Goa, C.R. Building, No. 1 Queen's Road, Bengaluru-560001 with PAN number of the Applicant Company, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed

Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

(9) The Applicant Company to serve the notice upon the other Sectoral Regulators or Authorities if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities within 30 days of the date of receipt of the notice it will be presumed that the other Sectoral Regulators or Authorities has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

(10) The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

(11) The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

(12) The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this Tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016. The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(13) In any eventuality when the Applicant Company/Transferee Company approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Amalgamation to put forth their contentions before this Tribunal.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL